STRATEGIC ENGAGEMENT PROGRESS REPORT

Olist Store E-Commerce Performance Analysis

Prepared By	Date	Engagement Phase	Overall Status
Mohammad Ammar	July 17, 2026	Phase II: Optimization	On Track

1. Executive Summary

This Client Summary Report provides a comprehensive mid-quarter evaluation of the strategic partnership between Vanguard Global Logistics Inc. and Elite Advisory Group. Over the past six months, our joint efforts have focused primarily on **Operation Horizon**, a multi-phased initiative aimed at modernizing supply chain network routing, automating core warehouse workflows, and embedding predictive analytics into demand forecasting models.

To date, the engagement has yielded substantial operational improvements. Network rationalization across the North American fulfillment corridors has reduced line-haul costs by 14.2%, outperforming our initial target of 12.0%. Additionally, the partial rollout of the automated Warehouse Management System (WMS) at the Chicago and Dallas hubs has driven a 22% uplift in order processing throughput. While minor technical integration bottlenecks have emerged in the predictive data pipeline, the overall engagement health remains strong and on track for full milestone realization by Q4 2026.

> **Strategic Insight:** Accelerating the integration of the regional distribution API into the central platform is expected to capture an additional $450k in annualized freight consolidation savings ahead of the peak holiday season.

$1.42M	14.2%	94.8%	8 / 10
SAVINGS REALIZED	FREIGHT COST RED.	ON-TIME DELIVERY	MILESTONES MET
▲ 18% vs Target	▲ Exceeded	▲ 1.3% MoM	■ On Schedule

2. Engagement Objectives & Core Pillars

The scope of Operation Horizon is defined by three interrelated pillars designed to build a resilient, scalable, and data-driven logistics infrastructure:

- **Pillar 1: Network Rationalization & Freight Consolidation:** Mathematical modeling of multi-echelon inventory positions and lane configurations to eliminate redundant routing and maximize container utilization.
- **Pillar 2: Autonomous Fulfillment Operations:** Upgrading core facility software to integrate seamlessly with automated guided vehicles (AGVs) and smart picking matrices.
- **Pillar 3: Predictive Demand Intelligence:** Developing machine learning algorithms utilizing historical order streams, economic indicators, and weather telemetry to forecast regional warehouse capacity constraints.

3. Deliverables & Milestone Status

Milestone / Deliverable	Workstream	Target Date	Status	Owner
North American Lane Optimization Blueprint	Network	May 10, 2026	COMPLETED	J. Vance (EAG)
Chicago Hub WMS System Integration	Fulfillment	June 15, 2026	COMPLETED	M. Reynolds (VGL)
Dallas Hub WMS System Integration	Fulfillment	July 01, 2026	COMPLETED	M. Reynolds (VGL)
Predictive Demand Engine Model Validation	Analytics	July 20, 2026	IN PROGRESS	Dr. A. Chen (EAG)
Legacy Carrier Contract Renegotiation	Network	August 15, 2026	IN PROGRESS	S. Gallagher (VGL)
Atlanta & NY Hub WMS Deployment	Fulfillment	September 05, 2026	IN PROGRESS	R. Patel (EAG)
Real-time Telemetry API Ingestion Pipeline	Analytics	September 30, 2026	AT RISK	T. Kowalski (VGL)

4. Key Performance Indicators (KPIs)

Performance Metric	Baseline	Target	Current	Variance	Strategic Assessment
Average Cost per Ton-Mile	$0.142	$0.125	$0.121	-14.8%	Exceeded goal due to rapid renegotiation of spot-market contract tiers.
Order Pick-to-Ship Cycle Time	4.2 Hrs	3.0 Hrs	3.1 Hrs	-26.2%	Chicago/Dallas automation yields rapid processing; awaiting Atlanta data.
Forecast Accuracy (Bi-weekly)	74.5%	88.0%	81.2%	+6.7%	Underperforming target due to incomplete weather API integrations. Mitigation active.
Warehouse Asset Utilization	79.0%	85.0%	86.3%	+7.3%	Optimal multi-echelon stock rebalancing successfully minimized dead space.

5. Financial Overview

The total authorized budget for Operation Horizon stands at **$4,500,000**. To date, actual spend tracks favorably against the linear budget projection, with a net positive variance of $185,000 driven by leaner technology infrastructure costs.

Workstream	Allocated Budget	Incurred Costs	Remaining Balance	Burn Rate Status
Network Rationalization	$1,200,000	$1,150,000	$50,000	**Optimal**
Autonomous Fulfillment	$2,000,000	$1,350,000	$650,000	**Optimal**
Predictive Demand Intelligence	$800,000	$415,000	$385,000	**Under-Burn**
Program Management & Governance	$500,000	$400,000	$100,000	**Optimal**
Total Engagement Portfolio	**$4,500,000**	**$3,315,000**	**$1,185,000**	**On Budget**

6. Risk & Mitigation Matrix

Continuous risk sensing has flagged two active items requiring executive oversight:

Risk 1: Legacy API Latency. The telemetry pipeline from Vanguard's old tracking server exhibits 200ms latency spikes, affecting predictive updates.
Mitigation: Stand up a Redis caching layer immediately to decouple streaming analytics from raw database queries.

Risk 2: Labor Change Management. Local floor teams express resistance to the newly deployed picking software interfaces.
Mitigation: Launch localized champion-led peer clinics and incentive structures to enhance on-site adaptation.

7. 30-60-90 Day Horizon

To maintain programmatic momentum, tactical efforts over the upcoming quarters are gated into strict deliverables:

Next 30 Days (Immediate):
- Finalize the ML validation suite for demand prediction.
- Sign off on carrier tier-1 renegotiations.

Next 60 Days (Mid-term):
- Go-live for WMS at Atlanta and New York facilities.
- Deploy Redis cache layer for the telemetry API.

Next 90 Days (Long-term):
- Run cross-functional business simulation testing.
- Formulate the Phase III expansion roadmap.